

General agency theory predicts that constraints form important parts of behavioral-based contracts and will mitigate agency problems for principals. In the Stoughton-Admati-Pfleiderer world, portfolio managers were unrestricted in the portfolio positions they could take. This allowed them to perfectly control both the return and risk of the portfolio and completely eliminate the effects of the incentive fee. Restrictions could be placed as schemes to induce manager effort. Placing restrictions allows us to move beyond the Irrelevance Result in some cases, and we see many restrictions on what managers can do in the real world. There are restrictions on portfolio risks (duration, tracking error, betas, concentration, and so on) and on what can and cannot be held (universe, derivatives, and so on). Theory shows that constraints form an important part of an optimal contract.¹⁵

Transparency and Disclosure

In choosing an investment manager, there is one other important consideration for an asset owner and this should go, wherever possible, into the optimal contract. Suppose there are two types of investors: skilled investors (Warren Buffetts) and unskilled investors, (Bernie Madoffs). Bernie Madoffs cannot produce true alpha, but they are clever. They can mimic high returns that look similar to the Warren Buffetts for a time, say by selling options (see chapter 10), but they will go bust eventually. Foster and Young (2010) show that *no compensation contract can separate skilled from unskilled managers solely on the basis of their track records*. This is in contrast to the manipulation-proof portfolio evaluation measures that we discussed in chapter 10 that did allow us to (eventually) detect true skill statistically. But any compensation contract that filters out the mimicking Bernie Madoffs also deters all the truly skilled Warren Buffetts from participating. This seems to place the asset owner in a bind: if you can detect the Bernie Madoff, you won't be able to hire the Warren Buffett. But if you can hire the Warren Buffett, you may be hiring the Bernie Madoff.

The key to moving past the depressing Foster and Young (2010) conclusion is noting that in their analysis, the compensation contract is a function based solely on past returns generated by the manager. This looks very general: it nests bonuses, clawbacks, and all linear and nonlinear contracts. But it restricts the asset owner to looking at past returns. An immediate implication is that we need to look beyond past returns. We need *transparency* of managers' positions and strategies, and we should take into account reputation and all other information pertinent to their investment management business. Institutional investors should be familiar with the *separately managed account* as a way of making the manager's trades completely transparent.

¹⁵ See Dybvig, Farnsworth, and Carpenter (2010) and He and Xiong (2011).